

Black Marketing and Some Other Social Offenses and Punishment Act, 1975

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Black Market and Certain Other Social Offences and Penalties Act, 2032

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Amending Acts

1. Justice Administration Act, 2048 2048.2.16
2. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.10.7
3. Some Nepal Acts Amendment Act, 2072 2072.11.13
4. Some Nepal Acts Amendment to Make Compatible with the Constitution of Nepal Act, 2075 2075.11.19
5. Some Nepal Acts Amendment Relating to Improvement of Economic and Business Environment and Enhancement of Investment Act, 2081 2081.12.18

Act No. 10 of the year 2032

Black Market and Certain Other Social Offences and Penalties Act

Preamble: Whereas it is desirable to control black marketeering, profiteering, hoarding, adulteration and certain other social offences in order to maintain the health, convenience and economic interest of the general public,

This Act is hereby enacted by His Majesty King Birendra Bir Bikram Shah Dev on the advice and with the consent of the National Panchayat. 1. Short Title, Extent and Commencement: (1) This Act may be called the "Black Market and Certain Other Social Offences and Penalties Act, 2032".

(2) This Act shall extend throughout Nepal removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066..

(3) This Act shall come into force immediately. 2. Black Market: If any person commits or causes to commit any of the following acts, he/she shall be deemed to have committed black marketeering and shall be punished as mentioned below:

(a) If any person sells any goods at a price higher than the price fixed by the Government of Nepal, or in the case of goods for which the price has not been fixed by the Government of Nepal, higher than the price fixed by the producer, importer or main distributor of the goods specified by the Government of Nepal by publishing a notice in the Nepal Gazette, the price so taken for such goods shall be refunded, such goods shall be confiscated, and he/she shall be liable to amended by the Some Nepal Acts Amendment Act, 2072. imprisonment for a term up to one year and may also be liable to a fine of up to ten lakh rupees.

Explanation: While fixing the wholesale or retail price of any goods, after consulting with the concerned field,

attention shall normally be paid to the following matters so that the consumer gets the goods at a reasonable price:

- (a) Cost of goods,
- (b) Freight and carriage,
- (c) Customs duty,
- (d) Taxes, fees and all kinds of reasonable expenses recognized by the prevailing law incurred in importing or producing goods,
- (e) Establishment expenses,
- (f) Reasonable commission of dealer, retailer or agent, and
- (g) Reasonable profit of producer or importer.

(b) If any person, having obtained any goods as mentioned in clause (a) which are not readily available in the open market at the fixed price in the desired quantity, by order or coupon or otherwise, purportedly for personal consumption, sells or otherwise transfers such goods or the order/coupon, with or without taking excess price or commission, then the price or commission taken for such goods or order/coupon shall be refunded, such goods shall be confiscated, and the order/coupon shall be cancelled, and he/she shall be liable to be amended by the Some Nepal Acts Amendment Act, 2072. imprisonment for a term up to one year or a fine of up to two lakh fifty thousand rupees or both. Provided, however, that:

(1) If after obtaining the goods they are no longer needed, they shall be given, without increasing the price at which they were obtained, as soon as they are not needed, to the person specified by the person in whose name the order/coupon was obtained, with that person's written consent. If the goods have not yet been obtained, the order/coupon shall be returned immediately.

(2) If, without taking excess price, such goods are given in a small quantity to a relative or neighbor to meet their personal needs, it shall not be deemed an offence under this clause.

(c) If any person sells tickets for any entertainment or transport service, for which a fee or fare is charged, at a price higher than the ticket price, the excess amount taken shall be confiscated, and he/she shall be liable to imprisonment for a term up to 1 year or a fine or both.

(d) The Government of Nepal may, as required for the purpose of fixing prices under this section, constitute Price Fixation Advisory Committees. 3.

Profiteering: removed by the Some Nepal Acts Amendment Relating to Improvement of Economic and Business Environment and Enhancement of Investment Act, 2081. (2) Notwithstanding anything contained in section 2, in the case of goods imported by incurring a loss on exports, profit may be taken in accordance with the prevailing law amended by the Some Nepal Acts Amendment Relating to Improvement of Economic and Business Environment and Enhancement of Investment Act, 2081. so as to also cover the loss incurred on the export. (3) Every wholesale or retail seller shall display a price list of the goods specified by the Government of Nepal at the place of sale in a manner visible to all. Any person failing to do so shall be liable to imprisonment for a term up to 1 year or a fine or both. 4. Diversion of Goods: If any person takes to another place or sells elsewhere any goods that have been allotted by the Government of Nepal for distribution in a amended by the Some Nepal Acts Amendment to Make Compatible with the Constitution of Nepal Act, 2075. province or district, or goods imported for sale and distribution in a amended by the Some Nepal Acts Amendment to Make Compatible with the Constitution of Nepal Act, 2075. province or district, or goods available as an agent, dealer or retailer, or sells goods contrary to the terms of agency or dealership,

or in a manner that prevents proper distribution to consumers, he/she shall be liable to be amended by the Some Nepal Acts Amendment Act, 2072. imprisonment for a term up to one year or a fine of up to two lakh fifty thousand rupees or both. 5. Hoarding and Artificial Scarcity: If any person hoards any goods by collecting them without selling, with the intention of selling them in the market after creating an artificial scarcity of such goods in the market, thereby causing a price increase and taking undue profit, he/she shall be liable to be amended by the Some Nepal Acts Amendment Act, 2072. imprisonment for a term up to one year or a fine of up to two lakh fifty thousand rupees or both. Provided, however, that in relation to goods declared by the Government of Nepal in the Gazette to be essential, if the same offence is committed by the producer, importer or main distributor, or any dealer or agent of theirs, he/she shall be liable to be amended by the Some Nepal Acts Amendment Act, 2072. imprisonment for a term up to one year or a fine of up to ten lakh rupees or both. 6.

Deceptive Sale and Distribution: If any person sells or distributes any goods by misrepresenting inferior goods as good goods, or by creating the impression that one good is another, or by adulterating any goods in a manner that reduces their quality, without disclosing such fact, he/she shall be liable to be amended by the Some Nepal Acts Amendment Act, 2072. imprisonment for a term up to nine months or a fine of up to two lakh rupees or both. 7. Adulteration of Medicine and Sale of Adulterated Medicine: (1) If any person, with the intention of selling or causing use as pure medicine, or knowing that it is likely to be so sold or used, adulterates any medicine in such a way that its effect becomes nullified, reduced, altered, or harmful, or knowingly sells, attempts to sell, keeps for sale, gives to anyone for treatment, or causes any person unaware of the adulteration to consume such adulterated or expired medicine, he/she shall be punished as follows: (a) If there is a possibility of danger to life, life imprisonment or imprisonment for a term up to ten years and a fine, (b) If there is a possibility of impairment or loss of function of any part of the body, imprisonment for a term up to ten years and a fine, (c) In other cases, imprisonment for a term up to five years or a fine or both. (2) If any other substance is sold as medicine, it shall also be deemed an offence under sub-section (1) and punished accordingly. 8. Upper Limit of Fine and Imprisonment in Lieu of Fine: removed by the Some Nepal Acts Amendment Act, 2072. (1) (2) While imposing the penalty of a fine, the officer hearing the case shall also specify in his decision the period of imprisonment to be served in default of payment of the fine. (3) If the offence for which a fine is imposed also carries a sentence of imprisonment, the imprisonment in default of payment of fine under sub-section (2) shall not be specified for a period exceeding five years. In case of life imprisonment, no additional imprisonment shall be imposed in lieu of the fine. 9.

Offence by an Organised Institution: (1) If the person committing an offence under this Act is an organised institution or company, the director, general manager, any other officer or person having control over the affairs of such organised institution or company shall be liable for such offence, unless he/she proves that the offence was committed without his/her knowledge or that he/she had exercised all due diligence to prevent the commission of the offence. (2) Notwithstanding anything contained in sub-section (1), if an offence committed by an organised institution or company is proven to have occurred due to the wilful act or negligence of a director, general manager or any other officer of such organised institution or company, such director, general manager or officer shall also be liable to punishment under this Act. 10. Commission: If any person reports to the relevant authority that an offence under this Act has been or is about to be committed, and the offender is arrested and convicted, twenty-five percent of the fine imposed on the offender shall be given to the person making the report. 11. Punishment for False Information or Complaint: If any person, with the intention of intimidating, threatening, defaming, or causing trouble, annoyance or harassment to another, knowingly makes a false complaint, despite having reason to believe it is false, or fabricates false evidence, or makes a false complaint without reasonable grounds or suspicion, he/she shall be liable to imprisonment

for a term up to three months or a fine of up to five thousand rupees or both. 12. Disqualification: A person sentenced to imprisonment for more than 6 months under this Act, except for section 11, shall not be eligible to serve in the Government of Nepal or any organisation owned by the Government of Nepal, or to obtain contracts or licenses, until five years have elapsed since the sentence was served. 13.

Power of Arrest and Search: (1) If any person commits an offence punishable under this Act, or if a reasonable complaint is made or credible information is received that such an offence has been committed, or if a reasonable suspicion arises and a warrant is issued by an officer mentioned in sub-section (2), a police officer up to the rank of Sub-inspector may arrest such person. (2) In the circumstances mentioned in sub-section (1), removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. the Chief District Officer or an officer designated by the Government of Nepal in this regard may also make an arrest themselves or order another person to do so. (3) Search of any village, house or vehicle where there is reasonable suspicion that the person to be arrested is hiding or that goods related to the offence under this Act are kept, may be conducted by a police officer up to the rank of Sub-inspector, or removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. the Chief District Officer or an officer designated by the Government of Nepal in this regard, or a government employee up to the rank of Kharidar authorised in writing by them, in accordance with the prevailing Nepal law. (4) During a search, goods, vehicles, documents, cash, etc., related to the offence under this Act may be seized. 14. Procedure for Filing a Case: (1) A case under this Act shall not be filed without the approval of the Government of Nepal or an officer designated by the Government of Nepal by publishing a notice in the Nepal Gazette. (2) If a retail trader operating a small shop on the roadside or elsewhere commits an offence under sections 3, 4 and 5, the officer under sub-section (1) may, considering the nature of the offence, if it is a first offence, deposit the profit unduly taken, recover it from the person concerned, obtain a written undertaking that such an offence will not be committed in the future, and dispose of the matter by keeping it on record without filing a case. (3) A case under this Act must be filed within 90 days from the date the offence was committed or discovered. 15. Officer to Hear the Case: (1) amended by the Some Nepal Acts Amendment Act, 2072.

The initial proceedings and adjudication of cases relating to offences punishable under section 7 shall be conducted by the District Court. (2) The Chief District Officer shall have the authority to conduct initial proceedings and adjudicate cases relating to offences punishable under sections other than those mentioned in sub-section (1). (3) While conducting proceedings and adjudicating cases under this Act pursuant to sub-section (1) or (2), the District Court or Chief District Officer shall follow the procedure under the Special Court Act, 2059. (4) An appeal against a decision made under sub-section (1) or (2) may be filed within thirty-five days. An appeal against a decision made by the Chief District Officer shall lie to the District Court. 16. Public Censure of Convicted Person: After a final decision, if it appears to be in the broader public interest to publish the name, address, nature of the offence and sentence of a person convicted under this Act, the judge or officer making the final decision may order that such information be published in a newspaper or through any other medium, and the person be publicly censured. 17. Protection of Actions Taken under this Act: No suit, complaint or legal action shall lie against any person for any act done or attempted to be done in good faith under this Act. 18. Sale and Distribution of Confiscated Goods: The arrangement for the sale and distribution of goods confiscated under this Act shall be made by the Government of Nepal. If such confiscated goods are required to be destroyed, the expenses thereof may be recovered from the person concerned in the same manner as government dues. 19. Remand of the Accused: The accused shall be remanded to custody during trial if there is a likelihood of the accused failing to appear on the specified date, or absconding if released on bail or surety, or interfering with evidence, or committing another offence under this Act. 20. Government of Nepal to be Plaintiff: The Government of Nepal shall be the plaintiff in cases

under this Act, and it shall be deemed to be included in Schedule-1 of the Government Cases Act, 2049. 21. Prosecution under Other Prevailing Laws: If an act constituting an offence under this Act also constitutes an offence under any other prevailing Nepal law, this Act shall not be deemed to bar proceedings under such other law. 22. Delegation of Powers: The Government of Nepal may, by a notified order published in the Nepal Gazette, delegate all or any of the powers vested in it under this Act to any officer. 23.